

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

INTERMODAL MOTOR CARRIERS CONFERENCE, AMERICAN
TRUCKING ASSOCIATIONS, INC., *Complainant*

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT ASSOCIATION
INC.; CONSOLIDATED CHASSIS MANAGEMENT, LLC;
CMA CGM S.A.; COSCO SHIPPING LINES CO. LTD.;
EVERGREEN LINE JOINT SERVICE AGREEMENT, FMC NO.
011982; HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK A/S;
MSC MEDITERRANEAN SHIPPING COMPANY S.A.;
OCEAN NETWORK EXPRESS PTE. LTD.; WAN HAI LINES LTD.;
YANG MING MARINE TRANSPORT CORP.; AND
ZIM INTEGRATED SHIPPING SERVICES, *Respondents*.

DOCKET NO. 20-14

Served: November 18, 2020

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER DENYING MOTION TO DISMISS

I. INTRODUCTION

Complainant Intermodal Motor Carriers Conference, American Trucking Associations, Inc. (“IMCC”) filed a complaint alleging violations of the Shipping Act of 1984, as amended (“Shipping Act”) by Respondents Ocean Carrier Equipment Management Association Inc. (“OCEMA”), Consolidated Chassis Management, LLC (“CCM”), and eleven named ocean carriers.

Respondents filed a motion to dismiss and memorandum of law in support of motion to dismiss on September 18, 2020. Complainant filed a memorandum of law in opposition to the motion to dismiss on October 5, 2020. Respondents filed a reply to Complainant’s opposition to the motion to dismiss on October 13, 2020.

Respondents argue that the complaint must be dismissed because the Commission lacks subject matter jurisdiction; the complaint fails to state a claim for which relief may be granted; the Complainant has failed to join necessary parties without whom relief cannot be granted; the complaint fails to state a claim for which relief may be granted by failing to allege sufficient facts to make Complainant’s claim for relief plausible; and the complaint fails to state a claim for which relief may be granted as to Respondents OCEMA and CCM. Motion at 5-24.

Complainant asserts that the Commission has subject matter jurisdiction over Respondents' conduct because it relates to tariffs and contracts for the through delivery of property and burdens an efficient terminal system; the complaint's allegations that Respondents have suppressed chassis choice and interoperability state a claim for unreasonable practices under the Shipping Act; intermodal equipment providers ("IEPs") are not indispensable parties to this action; the complaint alleges a facially plausible claim and provides clear notice of the asserted violation; and OCEMA and CCM are subject to section 41102(c) under Commission precedent. Opposition at 10-28.

As discussed below in greater detail, the motion to dismiss is denied. The complaint raises complex and novel legal and factual issues. At this point, it appears appropriate to consider the claims. This decision does not address the merits of the complaint but merely finds that the case may proceed. Respondents shall file their response to the complaint by December 8, 2020. The parties shall file a joint status report with proposed schedule by December 18, 2020, as required by the initial order.

II. LEGAL STANDARD

The complaint alleges a violation of section 41102(c), which provides:

(c) Practices in Handling Property.— A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

46 U.S.C. § 41102(c).

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 states that the Federal Rules of Civil Procedure ("Federal Rules") will be followed in situations which are not covered by specific Commission Rules, to the extent that the Federal Rules are consistent with sound administrative practice. 46 C.F.R. § 502.12. The "Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim." *MAVL Capital v. Marine Transport Logistics*, 2020 FMC LEXIS 216, *6 (FMC 2020). The Commission would look to Federal Rule 12(b)(7) when considering dismissals based on failure to join necessary parties.

"When, as here, jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies." *MAVL Capital*, 2020 FMC LEXIS 216, at *6 (citing *Kerns v. United States*, 585 F.3d 187, 192-93 (4th Cir. 2009)). "Under Fed. R. Civ. P. 12 (b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant's favor." *MAVL Capital*, 2020 FMC LEXIS 216, at *6 (citing *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 54 (FMC 2015)).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the

plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, 32 S.R.R. 126, 136 (FMC 2011).

“A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 U.S. Dist. Lexis 125179, *5 (M.D. Tenn. 2014).

III. ANALYSIS

A. Subject Matter Jurisdiction

Respondents contend that subject matter is a threshold issue and the Commission lacks jurisdiction over the relationship between motor carriers and ocean carriers. Motion at 5-11; Reply at 3-7. Complainant claims that the Commission has subject matter jurisdiction because Respondents’ regulations and practices relate to delivery on a through rate and to terminal efficiency. Opposition at 10-16.

“It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission.” *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, 29 S.R.R. 394, 396 (ALJ 2001) (citing *The Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). “Complainants bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims.” *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d 403, 406 (FMC 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff’d* 28 S.R.R. 751 (FMC 1999)).

The complaint alleges that “OCEMA members control the operation of chassis pools at ports and intermodal terminals nationwide through the rules and practices they adopt for pool operation, their contracts with equipment providers, and their own rules and practices governing how the cargo containers that they own may be interchanged.” Complaint at 2-3. The complaint further contends:

20. The Commission has jurisdiction over this Complaint pursuant to 46 U.S.C. § 41301 because it alleges violations of the Shipping Act of 1984, 46 U.S.C. § 41102(c), by ocean common carriers and their agents engaged in international maritime commerce of the United States at ports and inland intermodal terminals where they engage in the interchange of cargo containers and container chassis moving in such commerce.

Complaint at 11.

When discussing detention and demurrage, the Commission addressed the chassis market, stating:

The chassis situation is more complicated. It is undeniable that chassis availability impacts the ability of a shipper or a trucker to remove a container from a port. But the Commission has held that “[p]ersons importing merchandise may reasonably be assumed to have, or be able promptly to obtain, the equipment needed to receive it,” and, therefore, “[i]t is not necessary, in fixing free time, to allow for delays that may be encountered in the procurement of equipment.” Additionally, chassis supply models vary. Sometimes a trucker provides his or her own chassis. Sometimes chassis are provided via third-party chassis providers, over whom the Commission does not have authority under section 41102(c). And, although ocean carriers in many cases sold their chassis fleets, sometimes they substantially affect chassis availability via chassis pools owned by ocean carrier agreements such as OCEMA. Ocean carriers also exert control over chassis via “box rules,” under which ocean carriers determine which chassis a trucker must use in a carrier haulage situation. According to the Agriculture Transportation Coalition (AgTC), “carriers’ ‘box rules’ limit availability of chassis, forcing trucker to ‘hunt’ for a container brand designated by the carrier, and cannot use other containers more conveniently located.”

Suffice it to say, the assumption in *Free Time and Demurrage Charges at New York* that a shipper is able promptly to obtain equipment” might, in the case of a trucker and chassis, *in some circumstances*, no longer be valid. Accordingly, the Commission may, in an appropriate case, consider chassis availability in the analysis. In doing so the Commission would be especially careful to analyze how the chassis supply model at issue relates to the primary incentive purpose of demurrage and detention.

85 FR at 29655 (citations omitted).

Complainant asserts that Respondents are ocean common carriers and their agents engaged in international maritime commerce of the United States at ports and inland intermodal terminals where they engage in the interchange of cargo containers and container chassis moving in such commerce. As the Commission indicated, the chassis situation is “complicated,” ocean carriers may “substantially affect chassis availability via chassis pools owned by ocean carrier agreements such as OCEMA,” and “[o]cean carriers also exert control over chassis via “box rules,” under which ocean carriers determine which chassis a trucker must use in a carrier haulage situation.” 85 FR at 29655 (citations omitted). Complainant makes a plausible claim of jurisdiction by alleging that ocean carriers affect and exert control over chassis availability through their regulations and practices. Accepting the allegations in the complaint as true, subject matter jurisdiction is sufficiently alleged.

B. Failure to State a Claim for Relief under Section 41102(c)

Respondents contend that the complaint fails to state a claim for which relief may be granted because section 41102(c) is limited to terminal and forwarding services, does not apply to transportation, and does not prohibit the conduct alleged in the complaint. Motion at 11-15. Complainant asserts that section 41102(c) includes delivery of property at inland ports; the complaint alleges a facially plausible claim against Respondents and provides clear notice of the asserted violation; and the complaint pleads continuous and unreasonable conduct by Respondents. Opposition at 16-25.

Section 41102(c) applies to “regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The Commission recently stated that it “is undeniable that chassis availability impacts the ability of a shipper or a trucker to remove a container from a port.” 85 FR at 29655. The complaint alleges that Respondents’ rules and practices impact chassis availability and therefore impacts shipper’s ability to obtain their containers from ports. Accepting the allegations in the complaint as true, the complaint is sufficient to plausibly allege that the conduct at issue impacts the receiving, handling, storing, or delivering of property.

C. Necessary Parties

Respondents assert that Complainant failed to join the companies that own and operate the chassis, over whom the Commission lacks jurisdiction, and that without these indispensable parties, the complaint should be dismissed. Motion at 15-19. Complainant asserts that IEPs are not indispensable parties and the action may proceed without them. Opposition at 25-28.

To determine if a party is “indispensable” under Federal Rules 12(b)(7) and 19, a court must perform a two-step analysis. *Gen. Refractories Co. v. First State Ins. Co.*, 500 F.3d 306, 312 (3d Cir. 2007). First, the court must determine if the absent parties are “necessary” pursuant to Federal Rule 19(a), which provides:

A person who is subject to service of process and whose joinder will not deprive the court of subject-matter jurisdiction must be joined as a party if: (A) in that person’s absence, the court cannot accord complete relief among existing parties; or (B) that person claims an interest relating to the subject of the action and is so situated that disposing of the action in the person’s absence may: (i) as a practical matter impair or impede the person’s ability to protect the interest; or (ii) leave an existing party subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations because of the interest.

Fed. R. Civ. Proc. Rule 19(a)(1).

If the parties are necessary under Rule 19(a)(1) but joinder is not feasible, then the court must determine whether the parties are indispensable pursuant to Rule 19(b) which provides:

If a person who is required to be joined if feasible cannot be joined, the court must determine whether, in equity and good conscience, the action should

proceed among the existing parties or should be dismissed. The factors for the court to consider include:

- (1) the extent to which a judgment rendered in the person's absence might prejudice that person or the existing parties;
- (2) the extent to which any prejudice could be lessened or avoided by: (A) protective provisions in the judgment; (B) shaping the relief; or (C) other measures;
- (3) whether a judgment rendered in the person's absence would be adequate; and
- (4) whether the plaintiff would have an adequate remedy if the action were dismissed for nonjoinder.

Fed. R. Civ. Proc. Rule 19(b).

In conducting an analysis under the joinder rule to determine whether parties are “necessary” and “indispensable,” the court must accept as true the allegations in the complaint and draw all reasonable inferences in the non-moving party's favor. *Incubadora Mexicana, SA de CV v. Zoetis, Inc.*, 310 F.R.D. 166, 87 U.C.C. Rep. Serv. 2d 844 (E.D. Pa. 2015). While the party advocating joinder has the initial burden of demonstrating that a missing party is necessary, after an initial appraisal of the facts indicates that a possibly necessary party is absent, the burden of disputing this initial appraisal falls on the party who opposes joinder. *Ameriprise Financial, Inc. v. Bailey*, 944 F. Supp. 2d 541 (N.D. Tex. 2013).

At this point in the proceeding, the allegations in the complaint are accepted as true. The complaint requests relief in the form of an order to remove and to cease and desist enforcement of a section of the CCMP Operations Manual and to cease and desist adopting, maintaining, and/or enforcing any regulation or practice that limits the ability of a motor carrier to select the chassis provider, default provider designations for merchant haulage movements, and utilizing single-provider chassis pools that are not interoperable. Complaint at 40-41. It appears that the requested remedy directly impacts only the parties appearing in the proceeding. At this point, it does not appear that any other parties are necessary.

If other parties are necessary and cannot be joined, the case may nevertheless continue. Because this is a Shipping Act claim, no other venue would be able to adjudicate it. In addition, any prejudice may be lessened or avoided by shaping any relief ordered. Respondents may raise this issue when addressing potential remedies. At this early stage, the proceeding will not be dismissed for failure to join a necessary party.

D. Failure to Allege Sufficient Factual Allegations to State a Claim for Relief

Respondents contend that the complaint fails to state a claim for which relief can be granted because the complaint's factual allegations fail to meet the *Twombly* standard and are essentially policy arguments about efficiency. Motion at 19-22. Complainant asserts that the complaint is more than sufficient to inform each Respondent of the acts giving rise to the

unreasonable practices claim and lists specific factual allegations in their complaint supporting their claim. Opposition at 19-21.

The complaint includes detailed factual allegations regarding chassis and the development of the business model used to provide them, the OCEMA and CCMP agreements, and the benefits of gray pools over single-provider pools as well as factual allegations supporting Complainant's claims that Respondents' conduct restricts chassis competition and creates inefficiencies in CCM-managed pools, that Respondents use the IEP contracting process to prevent chassis choice and overcharge motor carriers for chassis on merchant haulage, and that Respondents restrict competition at non-CCM ports and terminals and are expanding the geographic scope of their restrictive conduct by abandoning CCM pools. Complaint at 12-27.

The complaint makes sufficient factual allegations to plausibly allege a violation of the Shipping Act. Complainant will need to further develop and establish the factual basis supporting its complaint and must demonstrate that the facts support finding a violation of the Shipping Act. At this stage of the proceeding, however, Complainant has plausibly alleged its claim and will be permitted to move forward.

E. Jurisdiction over OCEMA and CCM

Respondents assert that OCEMA and CCM should be dismissed on the basis that section 41102(c) does not apply to them as they are not common carriers, marine terminal operators, or ocean transportation intermediaries and that they are not conferences of ocean carriers. Motion at 23-24; Reply at 14-15. Complainant asserts that OCEMA and CCM are subject to section 41102(c) under Commission precedent as conferences of covered entities and as agents of ocean carriers.

The complaint alleges:

21. The Commission has personal jurisdiction over the ocean carrier respondents because they have engaged and continue to engage in such international maritime commerce of the United States, and because they have submitted to the jurisdiction of the Commission by filing agreements with the Commission as required by 46 U.S.C. §§ 40301(a), 40302. Article 5.8 of the Ocean Carrier Equipment Management Association, FMC Agreement No. 011284, expressly acknowledges that its agreements on issues specified in that section are "Subject to the Shipping Act of 1984, as amended." The Commission has jurisdiction over OCEMA as an entity created pursuant to FMC Agreement No. 011284 and as an agent for its ocean carrier members. The Commission has jurisdiction over Consolidated Chassis Management, LLC and its affiliates as entities created pursuant to the CCMP Agreement, FMC Agreement No. 011962, and as agents for the members of OCEMA who control their governance pursuant to the provisions of that agreement.

Complaint at 12.

The complaint alleges that OCEMA and CCM are agents or conferences of common carriers subject to Commission jurisdiction. Respondents have not provided Commission caselaw to support their argument that section 41102(c) applies only to the activities of individual common carriers but not to agents or conferences of common carriers. This issue may be further developed as the case proceeds. Even if OCEMA and CCM were dismissed, the case would continue against the individually named ocean carriers. Accepting the allegations in the complaint as true, Complainant sufficiently alleges a plausible basis for jurisdiction over OCEMA and CCM. Accordingly, the complaint will not be dismissed against OCEMA and CCM.

IV. ORDER

For the above-stated reasons, it is hereby **ORDERED** that Respondents' motion to dismiss be **DENIED**. Respondents shall file their response to the complaint by December 8, 2020, and the parties shall file a joint status report with proposed schedule by December 18, 2020, as required by the initial order.



Erin M. Wirth
Chief Administrative Law Judge